

Warrants, Converts, ATMs, Baby Shelves & Dilution Tracker

Institutional-Grade Dilution & Supply Playbook (U.S. Small Caps)

Purpose: Convert capital-structure + registration mechanics into *tradable* supply/overhang signals for U.S. small caps.

A) Failure-First Layer (How this blows you up)

1) The core failure: *you're trading price action while supply is non-linear*

Small caps can reprice 30–80% purely from **new supply discovery** (not fundamentals), because liquidity is thin and participants are reflexive.

Most common ways traders get trapped - Hidden supply: warrants/convertibles exist, but the market *re-prices only when the resale registration (S-1/S-3/424B3) becomes effective* or when the first ATM prints hit tape. - **Misreading “raised money” as bullish:** capital raise headlines can pop momentum — but the *mechanics* (discount, reset features, cashless, forced exercise, floorless convert) usually determine if the move is durable. - **Filing confusion:** traders confuse **shelf capacity** (potential future selling) with **registered resales** (near-term selling pressure) and with **primary ATM issuance** (issuer selling directly into bids). - **Wrong timing:** even if dilution is inevitable, the *trade may still work* before supply hits. People short too early and get squeezed. - **Liquidity traps:** wide spreads + halts + MMs widen into uncertainty. Stops slip; exits become discretionary.

2) The “dilution mirage”

A stock can look tight / bullish while dilution risk is rising: - price holds because **demand is temporary** (news/momo) and **supply is waiting** (effectiveness, exercise triggers). - then a single catalyst: **EFFECT (S-1 effective) / 424B5 ATM supplement / ATM sales disclosure** flips the tape.

3) Structural reason this fails in small caps

- Float is small and *supply shocks* matter.
- Retail momentum bids are *price-insensitive* until they are not.
- Offerings are often **opportunistic** (company sells into spikes).

Bottom line: if you don't model supply, you're trading an incomplete market.

B) Foundations & Core Concepts (Definitions that matter for trading)

1) Security types (trader-relevant definitions)

- **Warrant:** right to buy shares at a fixed **exercise price** until expiry.
- **Cash exercise:** holder pays cash → company receives cash, shares issued.
- **Cashless exercise:** holder receives fewer shares instead of paying cash (math based on intrinsic value) → still increases share count.
- **Pre-funded warrant:** effectively a share substitute with tiny exercise price; often treated like near-common.
- **Convertible note / debenture:** debt convertible into equity.
- Key terms:
 - **Conversion price** (fixed vs variable)
 - **Discount to VWAP or market price**
 - **Lookback period** (e.g., lowest VWAP over X days)
 - **Floors / no floors** (floorless is highest risk)
 - **Reset / anti-dilution** clauses
 - **Forced conversion / call provisions**
- **ATM (At-The-Market) program:** company sells newly issued shares into the market through an agent.
- Trading reality: **issuer is a stealth seller** into strength; it caps extensions and weakens squeezes.
- **Shelf registration (S-3 shelf):** pre-registers securities for future sale.
- **"Baby shelf":** smaller issuers can sell **up to ~1/3 of public float** in a rolling 12-month period (subject to eligibility constraints).
- **Resale registration (S-1/S-3 + 424B3 prospectus):** registers *selling shareholders'* shares (PIPE investors, note holders, warrant holders) for resale.
- Trading reality: when effective, it enables **supply to hit bid**.
- **Prospectus supplement (424B5):** adds terms for a specific takedown (often ATMs / underwritten deals).

2) Why it matters specifically in small caps

- **Supply is the dominant driver** after the first momentum leg.
- Dilution risk determines:

- probability of continuation
- squeeze failure rate
- the quality of pullbacks (buyers step away if they expect paper)

3) Market dynamics (who does what)

- **Issuer / management:** sells into spikes, funds runway.
- **PIPE funds / note holders:** monetize via conversions/resales; may hedge.
- **Market makers:** widen spreads when filing risk rises.
- **Momentum traders:** provide temporary demand; vulnerable to supply events.

4) Strengths / weaknesses / when the “dilution thesis” doesn’t work

Strengths - Supply mechanics are *repeatable* and frequently dominate small-cap outcomes.

Weaknesses (when not tradable) - You can’t reliably time selling without: - EFFECT dates, - ATM print confirmation, - or conversion windows.

When it does NOT work - The stock has a truly dominant catalyst AND the raise is structured as supportive (rare) AND liquidity is deep enough. - Supply exists but is “out of the money” (warrants far above price) with no near-term path.

C) Edge Extraction Layer (Where real edge comes from vs where people are wrong)

Where the edge actually comes from

1) **Event sequencing** (filing → pricing → effectiveness → selling disclosure) 2) **Instrument moneyiness** (is conversion/exercise economically attractive now?) 3) **Eligibility + gating items** (is resale actually permitted yet?) 4) **Supply magnitude vs liquidity** (shares-to-be-sold relative to ADV) 5) **Tell-tale tape behavior** (extensions capped, bounce quality deteriorates)

Where traders think the edge is (but are usually wrong)

- “Offerings are always bearish” → wrong; **timing + structure** matters.
- “ATM means dilution, so short immediately” → often early; need **confirmation**.
- “Warrants cause dumps” → only if **in the money + registrable/exercisable + seller intent**.
- “S-3 filed = dilution now” → filing is *capacity*; impact depends on **takedown**.

D) Patterns, Setups & Execution Logic (High-probability behaviors)

Pattern 1: ATM Overhang (momentum extension gets capped)

Typical behavior - Pop on catalyst → repeated pushes fail at/near HOD → heavy offers refresh → grind-down.

PA/volume tells - Strong early volume, then **lower quality continuation** - **HOD break attempts fail quickly** - Pullbacks become deeper; VWAP reclaim fails repeatedly

Day-trade execution - *Bias*: Fade extensions into major levels when tape shows replenishment. - *Trigger examples*: - 2nd/3rd HOD failure + loss of VWAP - failed reclaim + lower high - *Stop logic*: Above the last failed HOD attempt (tight), or above daily resistance (wider). - *Targets*: VWAP → LOD → prior day support.

Swing execution - Prefer bearish swings only after: - confirmed ATM activity (prospectus supplement + disclosed usage later, or clear supply tape), OR - breakdown below daily support with failed reclaim.

Pattern 2: "EFFECT" supply shock (resale registration becomes effective)

Typical behavior - Stock holds up into EFFECT → then supply appears → trend changes.

Execution - You don't need to predict EFFECT; you need to **react**: - first major red day on high volume - failure to reclaim VWAP / prior close

Targets - mean reversion to prior base / gap fill / daily support.

Pattern 3: Convertible "death spiral" (variable-price converts)

Typical behavior - repeated spikes sold into → progressively lower highs → heavy dilution prints.

Edge - If terms are variable discount to VWAP with no floor, probability of long continuation is low unless catalyst is extraordinary.

Trade logic - Avoid longs after first parabolic leg unless you see *clean* supply absorption AND no near-term conversion window.

Pattern 4: Warrant wall / forced-exercise dynamics

Typical behavior - Stock rallies into warrant exercise price(s) → stalls; holders hedge/sell.

Edge - Identify warrant strikes clustered near current price.

Execution - Longs: take profits into the wall; re-enter only after clean reclaim and absorption. - Shorts: only after rejection + VWAP fail; stop above wall break.

E) Strategies & Tactical Playbooks (Rule-based)

Playbook 1 — “Dilution Hard Block” (Pre-trade eligibility gate)

Do not trade size (or auto-reject A+ momentum) if: - Active ATM exists AND price is extended (issuer incentive high) - Recent S-1/S-3 resale registering a large % of float AND effectiveness is imminent/unknown - Variable-price convert with discount + lookback AND price is spiking

Reduce size / treat as B/C-grade if: - warrants are near-the-money and clustered - company has recent history of serial financings

Playbook 2 — “Supply-First Short” (when shorts are highest quality)

Context filters - Stock is extended (multi-day / parabolic) AND - New supply event is credible (pricing/effectiveness/ATM) AND - Tape shows capped extensions.

Entry logic - Failed HOD attempt → loss of VWAP → failed reclaim.

Stops - Above failed HOD pivot, plus volatility buffer.

Targets - VWAP → LOD → daily base / gap fill.

Failure cases - Real catalyst + broad risk-on + fresh momo crowd → can squeeze shorts.

Playbook 3 — “Dilution-Aware Long” (trade momentum *despite* dilution)

When longs still work - Catalyst is high-grade AND - float is very low AND - supply gates are not open yet (no EFFECT / no immediate conversion window) AND - volume is extreme (demand overwhelms supply temporarily).

Rules - Scale faster; don't marry. - Tighten invalidations (VWAP loss, PM low loss, first major lower high).

F) Risks, Failure Modes & Pitfalls

1) False signals

- “Shelf filed” ≠ shares sold today.
- “Warrants exist” ≠ immediate dilution.

- “Cash raise” ≠ bullish; terms decide.

2) Structural risks

- Halts (news + offerings), slippage, spread blowouts.
- Liquidity vacuum after EFFECT.

3) Compliance / rules to keep in mind (practical)

- SEC filings are public; use EDGAR as primary truth.
 - Be careful with **misleading** social posts about dilution; trade your verified facts.
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G) Data, Metrics & Tools (Operational layer)

Key metrics (convert to numbers)

- **Potential new shares** (warrants + pre-funded + converts)
- **% of float** represented by registrable resale
- **Days-to-distribute** = (registrable shares) / (avg daily volume)
- **Moneyness**: price vs strike / conversion price
- **Discount & lookback** (convert terms)
- **ATM capacity remaining** (program size minus disclosed sold if available)

Minimum “tradability” thresholds (suggested starting points)

- If potential supply > **20–30% of float**, assume it can dominate.
- If registrable shares > **5–10 days of ADV**, supply overhang is meaningful.

Where to pull the truth (primary)

- **SEC EDGAR**: S-1, S-3, 424B3/424B5, 8-K (financing terms), 10-Q/10-K (going concern, cash runway).
- Look for:
- “At-the-market offering” language
- “Prospectus supplement” for ATM
- “Selling stockholders” tables (resale)
- warrant/convert exhibit definitions (cashless, resets)

Scanner / workflow logic (actionable)

- **Daily watchlist tag**: “ATM active”, “Resale pending”, “Convert risk”, “Warrant wall”.
 - **Intraday rule**: if tagged supply-risk, require stricter PA confirmation (VWAP reclaim + higher lows) and faster profit-taking.
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H) Real-World Examples & Case Studies (How to study it)

Case study template (use on any ticker)

1) Identify instrument: ATM / warrants / converts / resale. 2) Timeline: - filing date - pricing date - EFFECT date (if S-1) - first disclosure of sales (later 10-Q/10-K or press releases) 3) Compare: - price action vs key events - volume response - whether HOD extensions started failing post-event 4) Translate to rules (what was the earliest tradable confirmation?)

Note: specific tickers vary. The repeatable part is **sequence + moneyness + liquidity**.

I) Resources & Experts (separate institutional/professional vs retail)

Primary / institutional-grade sources

- SEC: Form S-3 instructions + small business compliance guides (baby shelf eligibility)
- SEC EDGAR exhibits defining cashless exercise and warrant mechanics
- Law firm / capital markets primers (Mayer Brown, Latham/Cooley-style shelf/ATM guides)

Professional trading / execution viewpoints (retail but often practical)

- Microcap short / supply analysts (dilution-focused) — use as leads, verify on EDGAR.
 - “Dilution tracker” style services — useful UI, but the *truth* is always the filing.
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J) Current & Emerging Developments (ALL-TIME / structural)

What has stayed consistent: - Small caps monetize volatility. - Supply events are repeatedly weaponized into momentum.

What evolves: - Faster dissemination of filing info (social + alerts) compresses edge windows. - More complex financing structures (warrants + notes + resets) increase mispricing opportunities.

K) Quant Bias Filter (How to test claims)

Testable hypotheses

- 1) **ATM overhang test:** - Sample: small caps with active ATM. - Metric: probability of 2nd-day continuation above HOD vs controls.
- 2) **EFFECT event drift:** - Sample: S-1 resale EFFECT dates. - Metric: average return 1–5 days post EFFECT; frequency of VWAP failures.

3) **Warrant wall:** - Identify clustered strikes near price. - Metric: rejection rate at strike zone; time-to-break; volume profile changes.

Data you need

- EDGAR timestamps
 - daily/intraday OHLCV
 - float history (as best available)
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L) Market Regime Filter (When dilution signals dominate)

Highest impact (dilution dominates)

- **Bearish / liquidity-drained regimes** (risk-off, weak IWM/SPY participation)
- **Post-parabolic** small-cap tape
- **Low-adv liquidity** names (thin order books)

More mixed (momentum can overpower supply temporarily)

- **Hot momentum markets** (high retail participation, many gappers)
- **Very low float + huge RVOL** (demand overwhelms near-term supply)

Practical rule

- In risk-off regimes, treat any active supply mechanism as an A-grade *short thesis* or a hard block on longs.
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Dilution Tracker (Build-your-own) — Minimal Viable Engine

1) Data model (per ticker)

- Security inventory: warrants, pre-funded, notes, preferred
- Key terms: strike/conversion, discount, lookback, floors, resets, cashless, forced exercise
- Registration status: filed / effective / terminated / suspended
- Capacity: shelf size, ATM size
- Disclosed usage: shares sold (if later reported)

2) Event detection rules

- New S-1/S-3 filed
- 424B3 resale prospectus filed (selling stockholders)
- 424B5 ATM supplement filed

- 8-K financing entered/terminated

3) Scoring (fast trading-grade)

- **Supply Severity Score (0–5)**: magnitude vs float/ADV
- **Immediacy Score (0–5)**: are shares actually sellable now?
- **Incentive Score (0–5)**: is price extended + issuer cash need high?

4) Output tags

- “Hard Block Longs”
 - “B-Grade Only”
 - “Squeeze Unreliable”
 - “Supply-First Short Setup Eligible”
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Handbook Integration (Durable Rules Only)

Durable rules to keep 3+ years from now

- Trade small caps as **supply + demand**, not chart-only.
- Separate **capacity** (shelf) from **permission to sell** (effective resale / active ATM prints).
- Dilution impact is driven by: **moneyness + gating + magnitude vs liquidity**.
- A+ momentum becomes B/C if supply gating is open and incentives align.

Proposed Handbook Section Title

“Supply Mechanics: Warrants, Converts, ATMs, Shelves — Trading the Capital-Structure Overhang”

Proposed outline mapped to your immutable TOC

- Setup Definition & Context
 - Catalysts That Work (for supply-driven fades / for dilution-aware longs)
 - Catalysts That Rarely Work
 - Rules & Filters
 - Entry / Stop / Target Logic
 - Failure & Corrective Protocol
 - Post-Trade Questions for Learning
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Research Gaps (What to deepen next)

- Quant study: EFFECT-day drift across small caps (needs dataset + EDGAR event extraction)
- Quant study: active ATM → 2nd-day continuation probability vs non-ATM controls

- Best proxy for real-time ATM selling (tape + microstructure heuristics)

Follow-up queries to run next

1) "How to identify an active ATM in filings: 424B5 vs 8-K vs prospectus supplement" 2) "Convertible note terms that create variable-price conversion (lookback, discount) — how to detect quickly" 3) "Case-study build: 20 small caps where S-1 resale became effective; measure 1–5 day returns and VWAP failure rates"

SETUP INSERTS (Mapped to Mandatory Schema)

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1) SETUP: ATM OVERHANG FADE

Setup Definition & Context

Momentum extension in a small-cap with an active ATM program where issuer incentive to sell into strength caps continuation. Side: SHORT (primary) / Tactical LONG (only pre-confirmed supply inactivity) Tag: Momentum Extension Failure / ATM Overhang

Mandatory Setup Schema

- setup_name: ATM Overhang Fade
- instrument: Small-cap (<\$500M), float typically 5M–50M, ADV > 500k preferred
- catalyst: ATM active (S-3 + 424B5 supplement), recent spike catalyst
- price_action_rules:
 - 2nd/3rd HOD break fails
 - Repeated VWAP reclaims fail
 - Lower high forms after extension
- volume_metrics:
 - High opening RVOL (>3.0)
 - Extension volume fades
 - Offer replenishment at HOD
- entry_logic:
 - Failed HOD → loss of VWAP → failed reclaim
- stop_logic:
 - Above failed HOD pivot + volatility buffer
- target_logic:
 - VWAP → LOD → prior day support / gap fill
- failure_cases:
 - Genuine A+ catalyst with sustained RVOL >8 and float <5M
 - Broad risk-on squeeze regime
- historical_examples: To be cataloged (requires dataset build)

- status: Live
- last_updated: 2026-02-16
- notes:
- Higher confidence in weak IWM / SPY regimes
- Avoid pre-confirmation anticipatory shorts

Failure & Corrective Protocol

If price reclaims HOD with expanding volume and no tape stall, exit immediately. Reassess only after fresh lower high forms.

Post-Trade Questions for Learning

- Was ATM confirmed active or assumed?
- Did extension fail before entry?
- Did regime support fade thesis?

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2) SETUP: EFFECT SUPPLY SHOCK

Setup Definition & Context

Resale registration (S-1/S-3) becomes effective, enabling selling shareholders to distribute shares. Side: SHORT (primary) Tag: Resale Effective Breakdown

Mandatory Setup Schema

- setup_name: EFFECT Supply Shock
- instrument: Small-cap with recent PIPE/convert/warrant issuance
- catalyst: S-1/S-3 declared effective ("EFFECT")
- price_action_rules:
- First large red day on high volume
- Failure to reclaim prior close
- VWAP rejection intraday
- volume_metrics:
- Volume > 150% of 30-day avg
- Increased offer-side pressure
- entry_logic:
- First failed bounce below VWAP after breakdown
- stop_logic:
- Above intraday lower high or prior close
- target_logic:
- Prior base support
- Gap fill

- failure_cases:
- Unexpected new catalyst
- Extremely low float + squeeze regime
- historical_examples: To be built via dataset
- status: Live
- last_updated: 2026-02-16
- notes:
- Immediacy score must be high (shares sellable now)

Failure & Corrective Protocol

If price reclaims prior close with strong volume, abort thesis. Re-enter only on confirmed lower high.

Post-Trade Questions for Learning

- Was effectiveness verified or assumed?
- Did breakdown occur on expansion volume?
- Was float vs registrable share magnitude meaningful?

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3) SETUP: WARRANT WALL REJECTION

Setup Definition & Context

Stock rallies into clustered warrant strike price(s), creating overhead supply pressure. Side: SHORT at rejection / LONG only on clean absorption Tag: Warrant Strike Overhang

Mandatory Setup Schema

- setup_name: Warrant Wall Rejection
- instrument: Small-cap with disclosed warrant table
- catalyst: Price approaches near-the-money warrant strikes
- price_action_rules:
- Rejection wicks at strike zone
- Lower high forms under strike cluster
- volume_metrics:
- Increased selling near strike
- Failure of continuation volume above strike
- entry_logic:
- Rejection candle at strike + VWAP loss
- stop_logic:
- Above strike cluster + volatility buffer
- target_logic:
- VWAP → prior consolidation area

- failure_cases:
- Clean break above strike with strong follow-through
- Forced exercise clause accelerating upside
- historical_examples: Requires strike mapping dataset
- status: Live
- last_updated: 2026-02-16
- notes:
- Must verify warrant exercisability + registration status

Failure & Corrective Protocol

If strike breaks with expanding volume and holds above for 15–30 min (intraday), exit short bias.

Post-Trade Questions for Learning

- Were strikes near-the-money and clustered?
- Was exercisability confirmed?
- Did strike break hold or reject?

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Cross-Reference Tags

- Momentum Gap & Go (degraded under supply risk)
- VWAP Reclaim (higher failure probability with active ATM)
- Parabolic Extension Fade
- Red-to-Green Reversal (reduced reliability under active convert pressure)

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Structural Rule (Permanent)

If potential new supply exceeds 20–30% of float OR represents >5–10 days of ADV, downgrade all long setups one grade unless overwhelming catalyst + extreme RVOL.

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